

Syllabus - ECON 8351

Development Economics I

George Washington University

Spring 2024

Instructor: Prof. Tanner Regan (he/him)

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Classes: Tuesdays 11:10-1:00pm in GELM 402

Office hours: By appointment

1 Course Description

This course gives an introduction to major themes in the study of economic development in low and middle-income countries. By examining recent studies, students will gain an understanding common topics and methods in modern development economics. Econ 8351 is essential for any PhD student working on development-related issues, whether with me or with another supervisor. The course will also be of interest to research students in growth, urban, public, applied microeconomics, etc. who would like to learn more about these topics.

1.1 Prerequisites

I assume that students are familiar with the material taught in core Economics PhD courses (micro, macro, and econometrics). The class is not recommended for students without this background.

1.2 Expectations

- Classes (1h50m per week)
 - Attendance is mandatory and it is key for success in this course.
 - Attend class having read the required readings and with your notes and questions.
- Independent study (4h+ per week)
 - Reading and taking notes on papers, preparing presentations, and writing assignments.
 - 4h is a minimum. You may want to spend more time, especially for your research proposal.

1.3 Learning Outcomes

As a result of completing this course, students will:

- Gain an overview of research in modern development economics.
 - Understand how new research fits into the broader literature as it emerges.
 - See development related research currently being done by GWU faculty.
- Develop skills for conducting original research in development economics.
 - Anticipate good research questions and how they fit into the literature.
 - Develop an independent research project.
- Link the academic literature to current development policy.
 - Participate in academic-practitioner events with GWU partners such as the World Bank.

2 Grading

Your grade will be based on the following five items. Details of the assignments and presentations will be shared separately. Details on the participation grade can be found below. There is no final exam.

1. Research Project Proposal 30% (due: May 3rd)
2. Work-in-Progress presentation of your proposal 10% (Feb 27 & March 5)
3. Referee Report 20% (due: March 15th)
4. Presentation of a paper 20% (April 16 & 23)
5. Participation 20% (throughout)

2.1 Participation

The main component of the participation grade will be based on your in-class participation and pre-class summary of the weekly readings. Each week you will be given a short google form where you will submit your summary, comments, and questions on the readings for the upcoming class. Verbal participation in all classes and especially in the discussion of fellow students' presentations is expected.

Attendance at the Trade & Development seminar is also required. I will keep track of attendance so you don't need to send me an email. You should read the paper in advance (if available), and sign up to meet the speaker (if possible). Additionally, you will have the opportunity, and are expected, to attend the development workshops and conferences co-organised by GWU. This includes two WB-GWU 'Sustainable Cities' workshops, the Urbanisation and Poverty Reduction Conference (at the WB), and WADES. See the [Department of Economics Calendar](#) for the full schedule of seminars, workshops, and conferences.

3 Schedule of classes and readings

Reading for each class is listed below. *Primary* readings are required and must be read in full detail before class. For *secondary* readings, students must read at least the introduction and familiarize themselves with the paper before coming to class (e.g. if something in the introduction is not clear to you, read the relevant sections in the paper). In addition, each set of lecture slides will end with a bibliography of further reading for those interested in going more in depth on any particular topic. The schedule below is a tentative outline: some lectures may be longer or shorter than one day in practice.

- January 16 & 23, **Introduction to Development Economics**
 - Primary: Banerjee & Duflo (2007), Page & Pande (2018), Jones (2016)
 - Secondary: Cohen & Easterly (2009)
- January 30, **Methods: RCTs and fieldwork**
 - Primary: Banerjee & Duflo (2017), Manara & Regan (2022)
 - Secondary: Deaton (2020)
- February 6, **Poverty traps**
 - Primary: Balboni, Bandiera, Burgess, Ghatak & Heil (2021), Kraay & McKenzie (2014)
 - Secondary: Bandiera et al. (2017)
- February 13, **Targeting Poverty Alleviation**
 - Primary: Alatas et al. (2012), Hanna & Olken (2018)
 - Secondary: Alatas et al. (2019)
- February 20, **State Capacity and Taxation**
 - Primary: Weigel (2020), Besley & Persson (2014)
 - Secondary: Bachas et al. (2023)
- February 27, Student presentations of class project
 - TBD
- March 5, Student presentations of class project
 - TBD
- March 12, Spring Break. No class.
- March 19, **Misallocation and Agricultural Productivity**

- Primary: Restuccia & Rogerson (2017), Adamopoulos & Restuccia (2014)
- Secondary: Gollin & Udry (2021), Foster & Rosenzweig (2022)
- March 26, **Urban-Rural Gaps and Migration**
 - Primary: Lagakos (2020), Young (2013)
 - Secondary: Bryan & Morten (2019)
- April 2, **Cities in Developing Countries**
 - Primary: Henderson et al. (2021), Henderson & Turner (2020)
 - Secondary: Gechter & Tsivanidis (2023)
- April 9, **Urban Policy and Local Economic Development**
 - Primary: Michaels et al. (2021), Balboni, Bryan, Morten & Siddiqi (2021)
 - Secondary: Harari & Wong (2021)
- April 16, Student presentations discussion of paper
 - TBD
- April 23, Student presentations: discussion of paper
 - TBD
- April 30, (makeup day): if needed, may push back schedule 1 week.

Reading List

Adamopoulos, T. & Restuccia, D. (2014), 'The size distribution of farms and international productivity differences', *American Economic Review* **104**(6), 1667–97.

URL: <https://www.aeaweb.org/articles?id=10.1257/aer.104.6.1667>

Alatas, V., Banerjee, A., Hanna, R., Olken, B. A., Purnamasari, R. & Wai-Poi, M. (2019), 'Does Elite Capture Matter? Local Elites and Targeted Welfare Programs in Indonesia', *American Economic Association: Papers & Proceedings* **109**, 334–339.

Alatas, V., Banerjee, A., Hanna, R., Olken, B. A. & Tobias, J. (2012), 'Targeting the poor: Evidence from a field experiment in indonesia', *American Economic Review* **102**(4), 1206–40.

URL: <https://www.aeaweb.org/articles?id=10.1257/aer.102.4.1206>

Bachas, P., Gadenne, L. & Jensen, A. (2023), The Equity of Tax Systems in Low and Middle Income Countries. prepared for the *Journal of Economic Perspectives*.

- Balboni, C., Bandiera, O., Burgess, R., Ghatak, M. & Heil, A. (2021), 'Why Do People Stay Poor?*', *The Quarterly Journal of Economics* **137**(2), 785–844.
URL: <https://doi.org/10.1093/qje/qjab045>
- Balboni, C., Bryan, G., Morten, M. & Siddiqi, B. (2021), 'Could gentrification stop the poor from benefiting from urban improvements?', *AEA Papers and Proceedings* **111**, 532–37.
URL: <https://www.aeaweb.org/articles?id=10.1257/pandp.20211077>
- Bandiera, O., Burgess, R., Das, N., Gulesci, S., Rasul, I. & Sulaiman, M. (2017), 'Labor markets and poverty in village economies', *The Quarterly Journal of Economics* **132**(2), 811–870.
URL: <https://doi.org/10.1093/qje/qjx003>
- Banerjee, A. & Duflo, E. (2017), Chapter 1 - an introduction to the "handbook of field experiments", in A. V. Banerjee & E. Duflo, eds, 'Handbook of Field Experiments', Vol. 1 of *Handbook of Economic Field Experiments*, North-Holland, pp. 1–24.
URL: <https://www.sciencedirect.com/science/article/pii/S2214658X16300137>
- Banerjee, A. V. & Duflo, E. (2007), 'The economic lives of the poor', *Journal of Economic Perspectives* **21**(1), 141–168.
URL: <https://www.aeaweb.org/articles?id=10.1257/jep.21.1.141>
- Besley, T. & Persson, T. (2014), 'Why Do Developing Countries Tax So Little?', *Journal of Economic Perspectives* **28**(4), 99–120.
- Bryan, G. & Morten, M. (2019), 'The aggregate productivity effects of internal migration: Evidence from indonesia', *Journal of Political Economy* **127**(5), 2229–2268.
URL: <https://doi.org/10.1086/701810>
- Cohen, J. & Easterly, W. (2009), Introduction: Thinking big versus thinking small, in 'What Works in Development?: Thinking Big and Thinking Small', Brookings Institution Press, pp. 1–23.
URL: <http://www.jstor.org/stable/10.7864/j.ctt6wpghn.3>
- Deaton, A. (2020), Introduction: Randomization in the Tropics Revisited, a Theme and Eleven Variations, in 'Randomized Control Trials in the Field of Development: A Critical Perspective', Oxford University Press.
URL: <https://doi.org/10.1093/oso/9780198865360.003.0002>
- Foster, A. D. & Rosenzweig, M. R. (2022), 'Are there too many farms in the world? labor market transaction costs, machine capacities, and optimal farm size', *Journal of Political Economy* **130**(3), 636–680.
URL: <https://doi.org/10.1086/717890>
- Gechter, M. & Tsivanidis, N. (2023), Spatial spillovers from high-rise developments: Evidence from the mumbai mills. https://www.dropbox.com/s/yhbho0gyw51em2l/MumbaiMills_Combined.pdf?dl=0.

- Gollin, D. & Udry, C. (2021), 'Heterogeneity, measurement error, and misallocation: Evidence from african agriculture', *Journal of Political Economy* **129**(1), 1–80.
URL: <https://doi.org/10.1086/711369>
- Hanna, R. & Olken, B. A. (2018), 'Universal basic incomes versus targeted transfers: Anti-poverty programs in developing countries', *Journal of Economic Perspectives* **32**(4), 201–26.
URL: <https://www.aeaweb.org/articles?id=10.1257/jep.32.4.201>
- Harari, M. & Wong, M. (2021), Slum upgrading and long-run urban development: Evidence from indonesia. Working paper.
URL: real-faculty.wharton.upenn.edu/harari/wp-content/uploads/harari/HarariWong_SlumUpgrading_2021.pdf
- Henderson, J. V., Regan, T. & Venables, A. (2021), 'Building the City: From Slums to a Modern Metropolis', *Review of Economic Studies* **88**(3), 1157—1192.
- Henderson, J. V. & Turner, M. (2020), 'Urbanization in the developing world: Too early or to slow?', *Journal of Economic Perspectives* **34**(3), 150–173.
- Jones, C. (2016), Chapter 1 - the facts of economic growth, Vol. 2 of *Handbook of Macroeconomics*, Elsevier, pp. 3–69.
URL: <https://www.sciencedirect.com/science/article/pii/S1574004816000033>
- Kraay, A. & McKenzie, D. (2014), 'Do poverty traps exist? assessing the evidence', *Journal of Economic Perspectives* **28**(3), 127–48.
URL: <https://www.aeaweb.org/articles?id=10.1257/jep.28.3.127>
- Lagakos, D. (2020), 'Urban-rural gaps in the developing world: Does internal migration offer opportunities?', *Journal of Economic Perspectives* **34**(3), 174–92.
URL: <https://www.aeaweb.org/articles?id=10.1257/jep.34.3.174>
- Manara, M. & Regan, T. (2022), 'Ask a Local: Improving the Public Pricing of Land Titles in Urban Tanzania', *The Review of Economics and Statistics* pp. 1–44.
URL: https://doi.org/10.1162/rest_a_01247
- Michaels, G., Nigmatulina, D., Rauch, F., Regan, T., Baruah, N. & Dahlstrand-Rudin, A. (2021), 'Planning ahead for better neighbourhoods: Long run evidence from Tanzania', *Journal of Political Economy* **129**(7), 2112–2156.
- Page, L. & Pande, R. (2018), 'Ending global poverty: Why money isn't enough', *Journal of Economic Perspectives* **32**(4), 173–200.
URL: <https://www.aeaweb.org/articles?id=10.1257/jep.32.4.173>

Restuccia, D. & Rogerson, R. (2017), 'The causes and costs of misallocation', *Journal of Economic Perspectives* **31**(3), 151–74.

URL: <https://www.aeaweb.org/articles?id=10.1257/jep.31.3.151>

Weigel, J. (2020), 'The participation dividend of taxation: How citizens in congo engage more with the state when it tries to tax them', *Quarterly Journal of Economics* **135**(4), 1849–1903.

Young, A. (2013), 'Inequality, the Urban-Rural Gap, and Migration*', *The Quarterly Journal of Economics* **128**(4), 1727–1785.

URL: <https://doi.org/10.1093/qje/qjt025>

A. UNIVERSITY POLICIES AND RESORUCES FOR STUDENTS

University Policies

Academic Integrity Code

Academic integrity is an essential part of the educational process, and all members of the GW community take these matters very seriously. As the instructor of record for this course, my role is to provide clear expectations and uphold them in all assessments. Violations of academic integrity occur when students fail to cite research sources properly, engage in unauthorized collaboration, falsify data, and otherwise violate the Code of Academic Integrity. If you have any questions about whether or not particular academic practices or resources are permitted, you should ask me for clarification. If you are reported for an academic integrity violation, you should contact the Office of Student Rights and Responsibilities (SRR) to learn more about your rights and options in the process. Consequences can range from failure of assignment to expulsion from the university and may include a transcript notation. For more information, please refer to the SRR website <https://studentconduct.gwu.edu/academic-integrity>, email rights@gwu.edu, or call 202-994-6757.

University Policy on Observance of Religious Holidays

Students must notify faculty during the first week of the semester in which they are enrolled in the course, or as early as possible, but no later than three weeks prior to the absence, of their intention to be absent from class on their day(s) of religious observance. If the holiday falls within the first three weeks of class, the student must inform faculty in the first week of the semester. For details and policy, see "Religious Holidays" at provost.gwu.edu/policies-procedures-and-guidelines.

Use of Electronic Course Materials and Class Recordings

Students are encouraged to use electronic course materials, including recorded class sessions, for private personal use in connection with their academic program of study. Electronic course materials and recorded class sessions should not be shared or used for non-course related purposes unless express permission has been granted by the instructor. Students who impermissibly share any electronic course materials are subject to discipline under the Student Code of Conduct. Please contact the instructor if you have questions regarding what constitutes permissible or impermissible use of electronic course materials and/or recorded class sessions. Please contact Disability Support Services at disabilitysupport.gwu.edu if you have questions or need assistance in accessing electronic course materials.

Academic Support

Writing Center

GW's Writing Center cultivates confident writers in the University community by facilitating collaborative, critical, and inclusive conversations at all stages of the writing process. Working alongside peer mentors, writers develop strategies to write independently in academic and public settings. Appointments can be booked online at gwu.mywconline.

Academic Commons

Academic Commons provides tutoring and other academic support resources to students in many courses. Students can schedule virtual one-on-one appointments or attend virtual drop-in sessions. Students may schedule an appointment, review the tutoring schedule, access other academic support resources, or obtain assistance at academiccommons.gwu.edu.

Support for Students Outside the Classroom

Disability Support Services (DSS)

Any student who may need an accommodation based on the potential impact of a disability should contact Disability Support Services at disabilitysupport.gwu.edu to establish eligibility and to coordinate reasonable accommodations.

Counseling and Psychological Services

GW's Colonial Health Center offers counseling and psychological services, supporting mental health and personal development by collaborating directly with students to overcome challenges and difficulties that may interfere with academic, emotional, and personal success. healthcenter.gwu.edu/counseling-and-psychological-services.

Safety and Security

In an emergency: call GYPD 202-994-6111 or 911

For situation-specific actions: review the Emergency Response Handbook at: safety.gwu.edu/emergency-response

In an active violence situation: Get Out, Hide Out, or Take Out. See go.gwu.edu/shooterpret

Stay informed: safety.gwu.edu/stay-informed

Diversity, Equity and Inclusion

Diversity is of vital importance to the university's intellectual mission. The university holds its members accountable for sustaining an academic, work and social environment that values open communication, respectful interactions and civility. We have a shared responsibility for the wellbeing of others. To learn more and to access university resources, click [here](#).